

5G SPECTRUM AUCTION



88,078

24,740



43,084

19,867.8



18,799

6,228.4



212

400

■ AMOUNT SPENT (₹ CRORE); TOTAL ₹1,50,173 CRORE ■ SPECTRUM WON (MHz); TOTAL 51,236.2 MHz

Source: CareEdge

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There was enough on offer in the 5G bands for all the three telcos to buy," says Neerav Dalal, AVP (Research), MIB Securities India. With spectrum in their possession, operators can now look to offer a diversified suite of offerings across the spheres of mobility, data and enterprise.

At the outset, it brings to the table several ways to monetise existing businesses and look for new opportunities—this encompasses areas such as education, agri-tech, e-commerce, banking and fintech. "A good 5G network becomes the backbone and the ability to get the best out of blockchain and AI, for instance, is easily achievable," says Deven Choksey, MD of KRChoksey Securities. Jio's aggressive strat-

egy, he adds, goes well with the company's fibre network. "Critical and time-based applications that include fintech and operations in a plant will benefit greatly. Jio already has a B2C play and now can play the host and strengthen its presence in both B2B and B2C."

With India's mobility story already on a good wicket, the focus now shifts to the enterprise. The Adani Group's decision to buy 5G spectrum (they have spent a relatively small sum of ₹212 crore) is viewed as largely for captive use. For those looking at larger opportunities, like Reliance, it gives them a shot at being a larger infrastructure player. "There is a story in creating an information highway or just upping the 5G game with

dedicated bandwidth. Over time, mobility will be a small part of their business," says Choksey. The 5G option will also help the company monetise the digital broadcasting rights for the showpiece Indian Premier League (IPL) cricket tournament that are with Viacom18—which is backed by Reliance. "Their fibre infrastructure coupled with spectrum can place them in a very strong position."

A major concern has been the debt levels that the telcos are taking on at a time when tariffs in India are amongst the lowest in the world. "Yes, debt will increase but with the payment terms relaxed or distributed over 20 years, the stress on cash flow may not be material," points out Dalal. The immediate outgo was the first instalment, which was paid within 10 days of the auction concluding.

"The government expects spectrum allocation to conclude by the second week of August 2022 and the roll-out of 5G services to begin from October 2022. While the purchased spectrum is sufficient for coverage across the country, achievement of complete coverage is expected to take a couple of years," says a recent report by rating and research firm CareEdge.

As things stand, there is a good chance that 5G adoption in India may follow the path taken by its predecessors. Both 3G and 4G adoption picked up pace after handset prices and tariffs started moving south